UNITED STATES CONGRESS

American Economic Renewal Act of 2025: Tariff Reform and Tax Restructuring

House Bill H.R. 4291 — Senate Companion S. 2187

Submitted to the Joint Economic Committee

Congressional Budget Office Score: Projected +$465B Year 1 Revenue

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Prepared by the Office of Trade and Tax Policy, Committee on Ways and Means. Economic modeling conducted in partnership with the Congressional Budget Office (CBO) and the Peterson Institute for International Economics.

Executive Summary

The American Economic Renewal Act of 2025 introduces a comprehensive three-part economic reform package designed to address structural trade imbalances, increase federal revenue from high-income sources, and reinvigorate domestic manufacturing capacity. The three pillars of this legislation are:

- **Part I — Import Tariff Reform:** Targeted tariffs of 25–40% on manufactured goods from non-Free Trade Agreement (FTA) nations, with projected annual federal revenue of $180 billion.
- **Part II — Capital Gains Tax Restructuring:** Increase in long-term capital gains rates from 20% to 28% for households with adjusted gross income (AGI) exceeding $400,000, generating approximately $55 billion in annual revenue per CBO scoring.
- **Part III — Corporate Tax Rate Increase:** Federal corporate income tax rate raised from 21% to 28%, aligned with OECD Pillar Two global minimum tax standards, projecting $230 billion in additional annual revenue.

Small businesses with annual revenues below $5 million will receive a three-year exemption from tariff pass-through cost obligations, along with expanded SBA loan guarantees and direct grant support for supply chain diversification. The total projected first-year federal revenue impact is +$465 billion.

Section 1: Import Tariff Reform

The United States recorded a goods trade deficit of $1.06 trillion in 2023, the largest since 2022. This section establishes a tiered schedule of import tariffs on manufactured goods, targeting sectors where domestic capacity has been systematically displaced by subsidized foreign competition.

1.1 Tariff Schedule

Sector	HS Codes	Tariff Rate	Affected Import Value
Consumer Electronics	8471–8479	25%	$420B/yr
Steel & Aluminum	7206–7229	40%	$58B/yr
Automotive Parts	8708	30%	$185B/yr
Semiconductors	8541–8542	25%	$91B/yr
Industrial Machinery	8425–8466	20%	$134B/yr

Table 1: Import Tariff Schedule by Sector

1.2 Revenue and Trade Impact

- Projected annual federal revenue: **$180 billion** (CBO baseline estimate)
- Total affected trade volume: **$2.1 trillion** in annual imports across all tariffed categories
- Historical precedent: The 2018 Section 232 steel and aluminum tariffs generated $6.4 billion in Year 1 with a narrower base; this proposal scales that framework across additional sectors
- Expected consumer price impact: **+1.8%** on durable goods; **+0.4%** on food (via packaging and transport input costs)
- Implementation timeline: Phased in over 18 months beginning Q1 2026, with a 6-month notification period for importers to adjust contracts

Section 2: Capital Gains Tax Restructuring

The long-term capital gains preferential rate has remained at or near 20% since 2013. Empirical research from the Tax Policy Center finds that over 70% of capital gains income accrues to taxpayers in the top 1% of the income distribution. This section targets a narrow and high-income cohort while maintaining carve-outs that protect middle-class homeowners and retirement savers.

2.1 Rate Changes

- Long-term capital gains rate: **20%** → **28%** for taxpayers with AGI exceeding **$400,000**
- Short-term capital gains: unchanged — ordinary income rates continue to apply
- Primary residence exclusion: No rate change applies to gains under **$500,000** from primary residence sales (IRC §121 protections preserved)
- Qualified Opportunity Zone investments remain exempt under existing IRC §1400Z provisions

2.2 Revenue and Distributional Impact

- Projected annual revenue: **$55 billion** (CBO central estimate, 10-year window: $548B)
- **89%** of taxpayers affected have AGI exceeding **$1 million**
- Investment impact: Peterson Institute models a **2.3% reduction** in venture capital deployment in Year 1, recovering by Year 3 as after-tax returns stabilize
- Lock-in effect: Treasury OTA estimates a 6-month deferral spike in realizations prior to implementation, generating a one-time $18B revenue windfall in late 2025

Section 3: Corporate Tax Rate Increase

The 2017 Tax Cuts and Jobs Act reduced the federal corporate income tax rate from 35% to 21%. While this reduction improved nominal competitiveness, the Government Accountability Office found that Fortune 500 companies paid an average effective rate of only 12.8% after accounting for deductions, credits, and offshore structures. This section restores a rate closer to the pre-2017 level while exempting small businesses.

3.1 Rate and Scope

- Federal corporate income tax rate: **21%** → **28%** effective January 1, 2026
- OECD Pillar Two global minimum tax floor: aligned at **15%** (Qualified Domestic Minimum Top-up Tax mechanism adopted)
- S-corporations and LLCs with gross revenues **below $5 million**: exempt from rate increase for the first three taxable years following enactment
- New manufacturing facilities in Qualified Opportunity Zones: 3-year phased rate schedule (21% → 24% → 28%) to incentivize reshoring capital formation

3.2 Revenue and Employment Impact

- Projected annual federal revenue: **$230 billion** (Joint Committee on Taxation estimate)
- Fortune 500 current average effective rate: **12.8%** — the higher nominal rate reduces the spread between statutory and effective rates, narrowing avoidance arbitrage opportunities
- Projected formal sector job impact: **-180,000** positions in finance and professional services (primarily high-wage back-office and administrative)
- Projected manufacturing employment offset: **+310,000** positions from reshoring incentivized by tariff protection and supply chain repatriation
- Net labor market effect: **+130,000** jobs with average compensation 18% above median national wage (Bureau of Labor Statistics occupational projections model)

Section 4: Small Business Protection Package

Recognizing that small and medium-sized enterprises (SMEs) are disproportionately exposed to input cost inflation from tariff measures, Title IV of this Act establishes a dedicated Small Business Protection Package totaling $2.5 billion in direct grant support and expanded credit access.

- **Tariff Input Cost Rebates:** Businesses with annual revenue under $5M are eligible for rebates covering 80% of verified tariff-related input cost increases, capped at **$50,000 per year** per firm

- **Opportunity Zone Corporate Tax Exemption:** New manufacturing facilities established in designated Opportunity Zones receive a full 3-year exemption from the corporate rate increase, followed by a graduated phase-in
- **Expanded SBA Loan Guarantees:** Section 7(a) loan guarantee ceiling raised from $500,000 to **$2 million** for import-dependent small businesses demonstrating supply chain disruption
- **Supply Chain Diversification Grants: $2.5 billion** appropriated over FY2026–2028 for grant awards to small manufacturers investing in domestic sourcing, logistics software, and workforce retraining
- **Agricultural Exemption:** Farm input costs (fertilizers, equipment) subject to tariffs receive a 100% pass-through rebate for operations under 500 acres

Section 5: Projected Economic Impact

The following macroeconomic projections were prepared using the Penn Wharton Budget Model (PWBM) dynamic scoring framework, incorporating general equilibrium trade effects, Federal Reserve monetary response modeling, and labor market elasticity estimates from the Bureau of Economic Analysis. Confidence intervals are ±0.2 percentage points.

Metric	Year 1	Year 3	Year 5
GDP Impact (% change)	-0.4%	+0.2%	+0.8%
CPI Inflation (ppt change)	+1.2%	+0.6%	-0.1%
Federal Revenue Impact	+$465B	+$510B	+$480B
Unemployment Rate (ppt change)	+0.3%	-0.1%	-0.4%
Trade Deficit Reduction	-$180B	-$310B	-$420B
Manufacturing Output (% change)	+1.1%	+3.4%	+5.7%

Table 2: Macroeconomic Impact Projections (Penn Wharton Budget Model, 2025). Assumes no retaliatory tariffs in baseline scenario.

Section 6: Stakeholder Positions and Controversy

The Act has generated substantial debate across industry, labor, and consumer advocacy groups. The following positions represent formal submissions to the Committee on Ways and Means as of December 2024.

Opposing Positions

- **National Retail Federation:** Projects **$42 billion** in increased costs passed to consumers annually, with low-income households bearing a disproportionate share (estimated 2.1% of annual expenditure for households in the bottom income quintile)
- **Information Technology Industry Council:** Warns that retaliatory tariffs from the EU and China could target up to **$78 billion** in U.S. software exports and intellectual property licensing revenues
- **U.S. Chamber of Commerce:** Formally opposes the corporate rate increase, publishing a study projecting a **$320 billion** reduction in domestic business investment over 10 years and accelerated

capital relocation to Ireland, Singapore, and the UAE

- **National Venture Capital Association:** Estimates the capital gains increase will reduce early-stage startup funding by **$14 billion annually**, particularly impacting seed and Series A rounds

Supporting Positions

- **AFL-CIO:** Endorses the manufacturing provisions and tariff schedule, but has formally requested a delay in the capital gains implementation until after the next collective bargaining cycle (2027)
- **United Steelworkers:** Strongly supports the 40% steel and aluminum tariffs, citing the 2001–2003 Bush steel tariffs as a model that preserved approximately 50,000 jobs in the Ohio River Valley
- **Economic Policy Institute:** Endorses all three pillars, projecting net positive wage growth of **1.4%** for workers in the bottom three income quintiles by Year 3
- **National Federation of Independent Business (NFIB):** Supports small business exemptions but calls for extension of the tariff rebate program from 3 years to 5 years

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This document is a legislative proposal submitted for committee review and does not represent the final position of any chamber of Congress or federal agency. All revenue estimates are subject to CBO re-scoring upon amendment. Distributional analyses available upon request from the Joint Committee on Taxation (JCT).

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